

CATEGORY	MEANING	SUITABLE FOR THOSE WITH
Focused Funds	Focused Funds are those that focus on a particular sector or a few companies. They limit their diversification. This limits opportunities but increases the depth.	• Better if avoided by individuals • Rather go with Sector funds
Capitalization	They invest in companies of a certain capitalization range i.e. size. Large caps are the least risky and produce stable but lower returns as compared to small caps.	• Everyone - irrespective of their risk-taking ability
Sector Funds	They only invest in stocks in a particular sector. So, performance is tied to the sector and not the general economy. Here, we are taking a sector-specific bet.	• Who work in a particular sector • Having insights of that sector • Best if ignored
Value	Value means strong companies at cheap valuations even if growth is low. Here, the focus is on downside minimization.	• Goals: Long-term • Time horizon: 7+ years • Risk-taking ability: Low to moderate